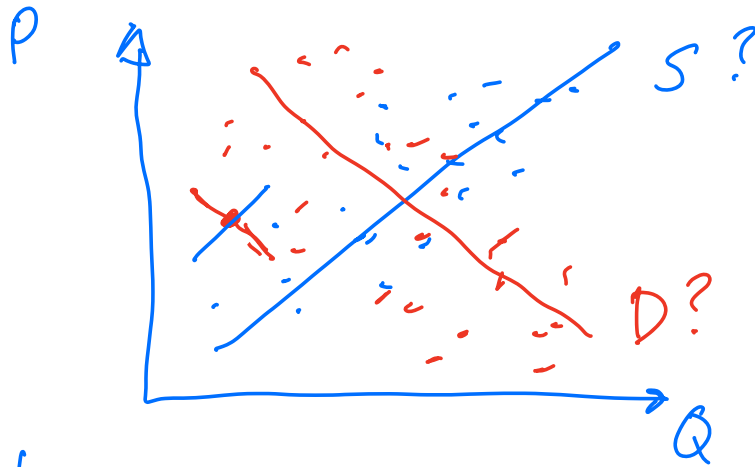




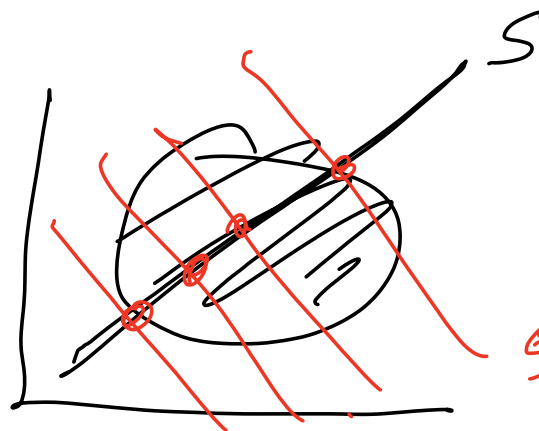
log-log / S: Supply $Q_S^i = \beta_0 + \beta_1 \cdot P^i$ 1)

D: Demand $Q_D^i = \alpha_0 + \alpha_1 \cdot P^i$ 2)

$\beta_1 > 0$
 $\alpha_1 < 0$

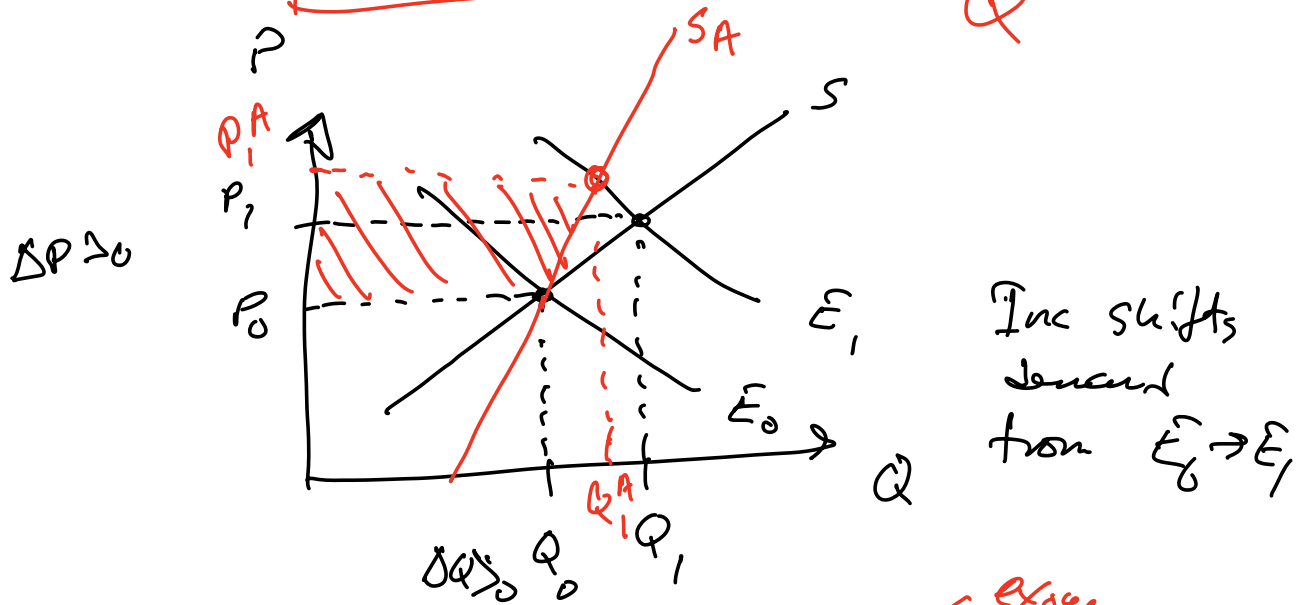
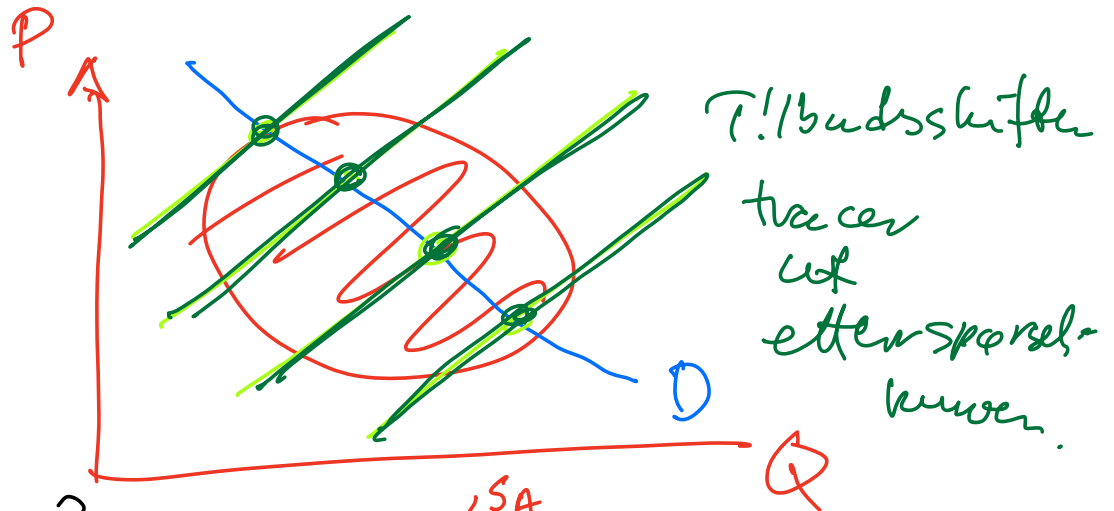
$Q_S^i = Q_D^i \equiv Q$ 3)

P	Q	X



SO THAT WE
TRACE OUT
THE SUPPLY CURVE

change
due to income



$$1) \quad Q_d^i = \alpha_0 + \alpha_1 \cdot P + \alpha_2 \cdot X$$

$$2) \quad Q_s^i = \beta_0 + \alpha_1 \cdot \overset{\text{exogen}}{P}$$

Good!

REDUCENT FORM

1st step IF

$$P = \lambda_0 + \lambda_1 \cdot X$$

$\begin{pmatrix} P \\ \alpha_1 \end{pmatrix}$

P

Ordinary $Q = f(P, Z)$

Invers $P = g(Q, W)$

